

Effective PM Elements



Finding: Most PM processes include both positive feedback and critique

The most common features of performance management processes are balanced feedback and a discussion of goals. Two-thirds include a conversation about development.

Fewer than half say their PM process is easy to understand and only 32% say the process accurately portrays employee performance, which is one of the primary goals of the process.

Part of the gap may be that development conversations, even when they happen, stop short of giving employees a concrete picture of what success looks like. As Kimberly Hodge, Talent Development Manager at MWM DesignGroup, describes it:

“With every development plan we have, we also have a success plan now—what does success actually look like for that person? That extra step helps managers go beyond ‘here’s the skill that’s missing’ to ‘here’s what you need to do to be successful.’”

— **Kimberly Hodge**

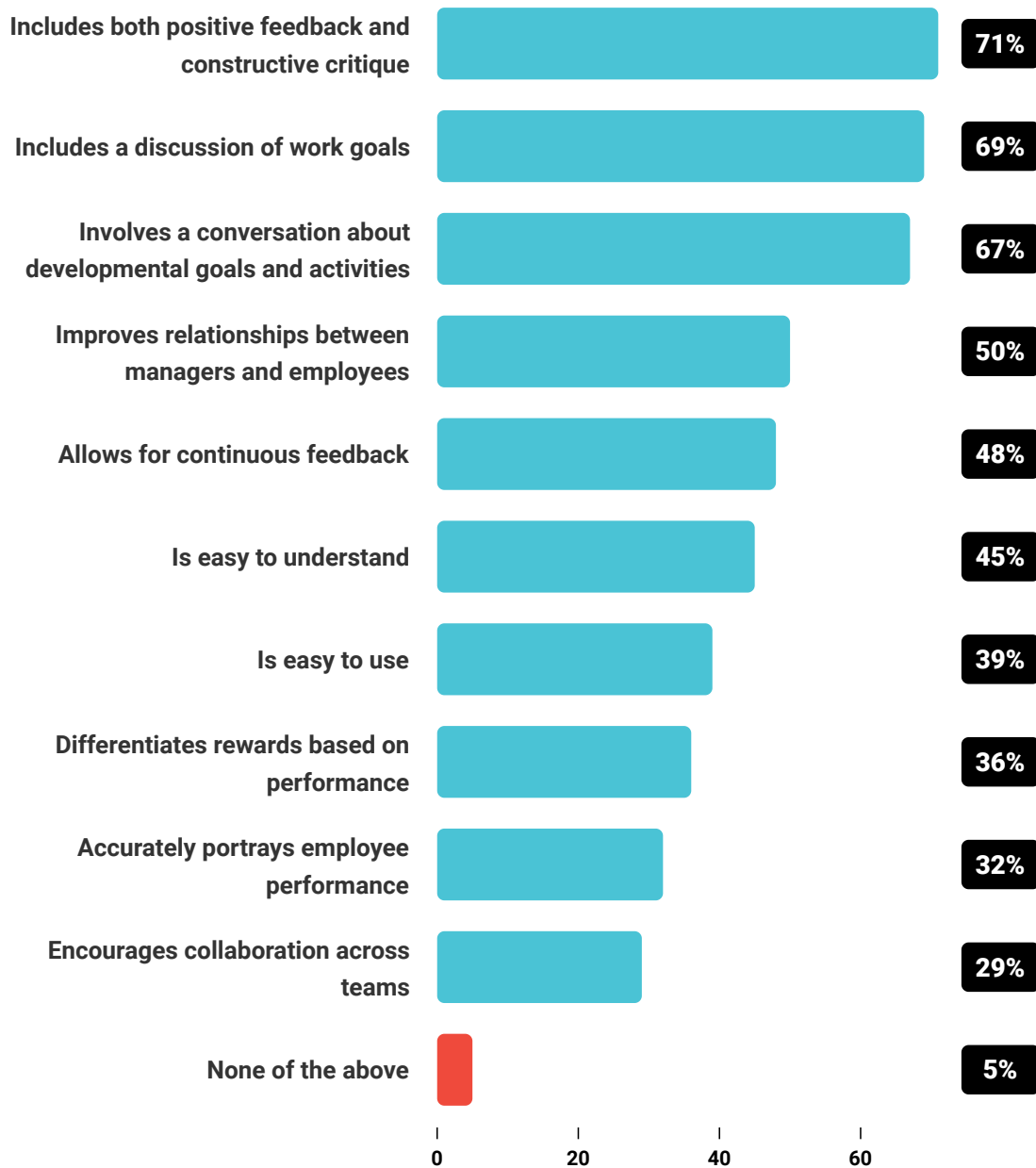
Talent Development Manager at MWM DesignGroup

In other words, pairing a development plan with a success plan may be one way to close the distance between having a PM process and having one that employees feel actually captures their performance.

By Organization Size

Small organizations are far more likely to say their process allows for continuous feedback (67%), compared with 40% of midsized and 44% of large organizations. They are also much more likely than large organizations to describe the process as easy to understand (51% vs. 27%).

Which of the following are features of your organization's performance management process? (select all that apply)



About half say the PM process improves relationships between managers and employees



Finding: Leaders are more than twice as likely as laggards to say PM improves relationships between managers and employees

Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to say their PM process improves relationships between managers and employees and allows for continuous feedback.

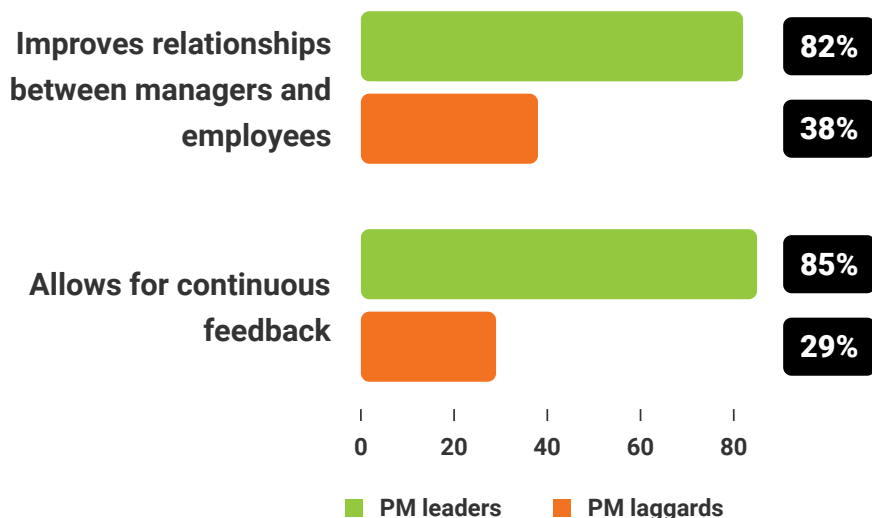
PM leaders are over twice as likely (82% vs. 38%) to deploy a PM process that improves relationships between managers and employees. This focus on relationships is impressive given that any discussion of performance can be stressful for both employee and manager.

Another important difference between PM leaders and laggards is allowing for continuous feedback (85% vs. 29%). The continuous feedback takes some of the pressure off the final performance management discussion and reduces the likelihood of the employee being surprised by the results.



Leaders are about three times more likely than laggards to say PM allows for continuous feedback

Which of the following are features of your organization's performance management process? (select all that apply)

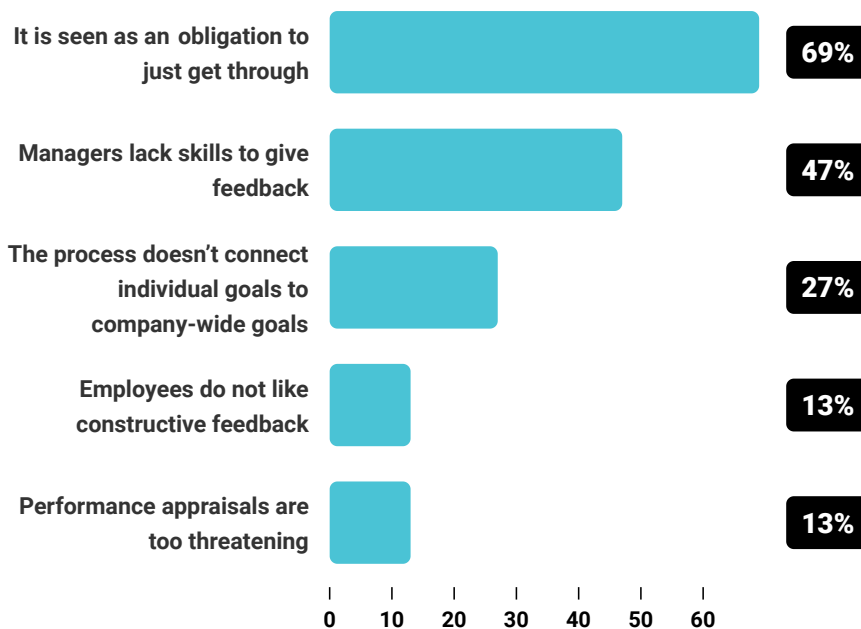




Finding: About two-thirds say managers see performance management as simply an obligation to get through

Two-thirds of respondents who don't view performance management as relationship-building between manager and employees say it feels like an obligation rather than a meaningful process. This result identifies a clear problem for those organizations to focus on.

In the previous question, you did not choose “It improves relationships between managers and employees.” Why don’t you feel the performance management process improves relationships between managers and employees?





Finding: Work-related feedback is given at least once a quarter in the majority of organizations

There is a great deal of variation in how frequently employees get feedback and have conversations about performance or career goals, ranging from “weekly” to “never.” There is less variation in how frequently employees get formal appraisals, with 57% getting annual appraisals and 19% semi-annual.

That variation often shows up not just in timing but in format, particularly around peer feedback. Lena Finch notes that a formal structure isn’t the only path:

"We do not have a formal 360 process, but we foster a culture where feedback is shared regularly across teams, among peers, and between employees and managers as an important way to learn, grow, and improve. 'You are expected to learn and grow' is one of our operating principles."

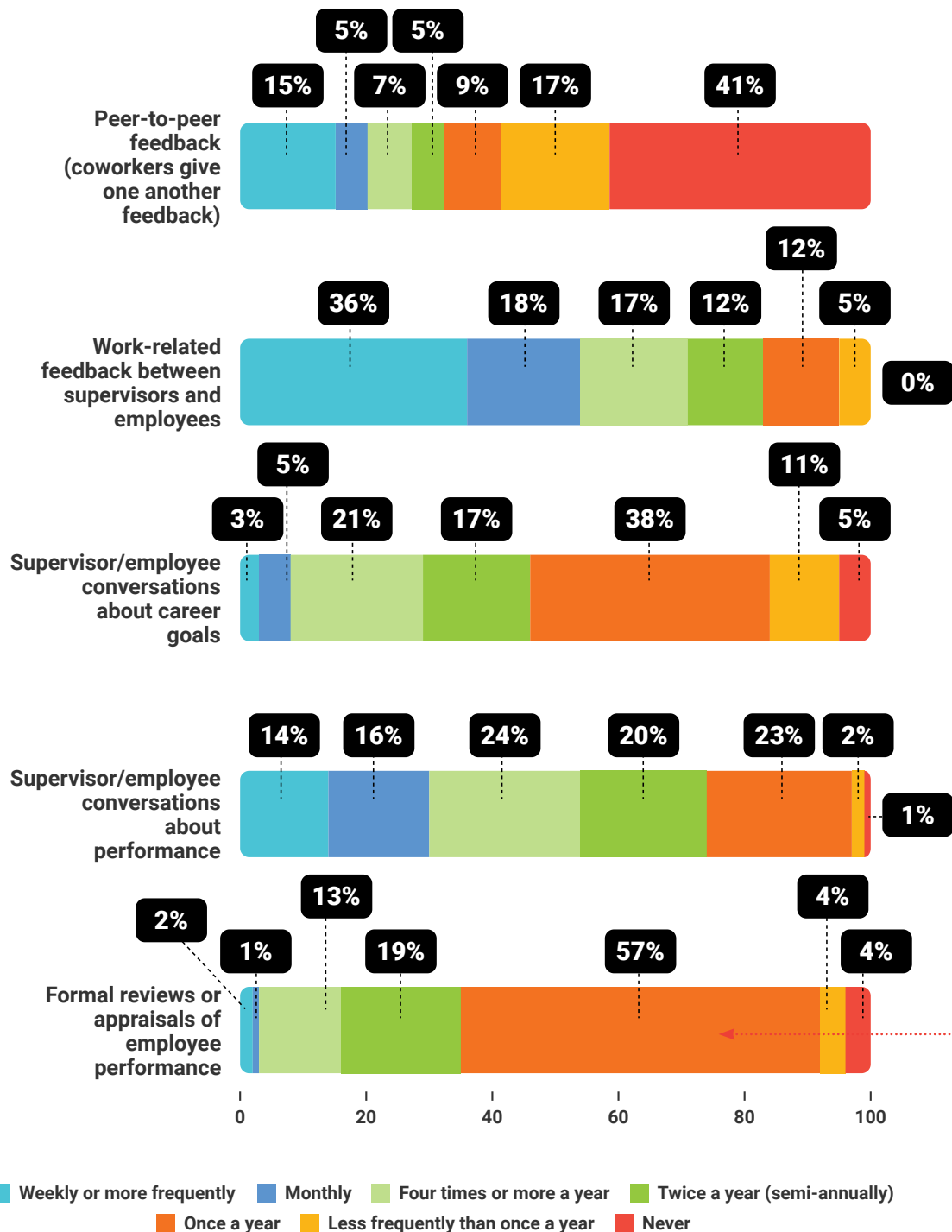
— **Lena Finch**

Vice President of People & Culture at Allego

Kimberly Hodge takes a more structured approach, but one that still spans multiple channels rather than relying on a single mechanism. “There are so many ways to do peer-to-peer feedback, formal 360s, private notes only the manager sees, and public one-to-one recognition.”

Between Finch’s informal, daily approach and Hodge’s layered, multi-channel system, it’s clear that peer feedback doesn’t have to wait for the annual or semi-annual appraisal cycle to happen.

On average, how often are the following actions conducted in your organization?



Nearly 60% do formal appraisals once a year

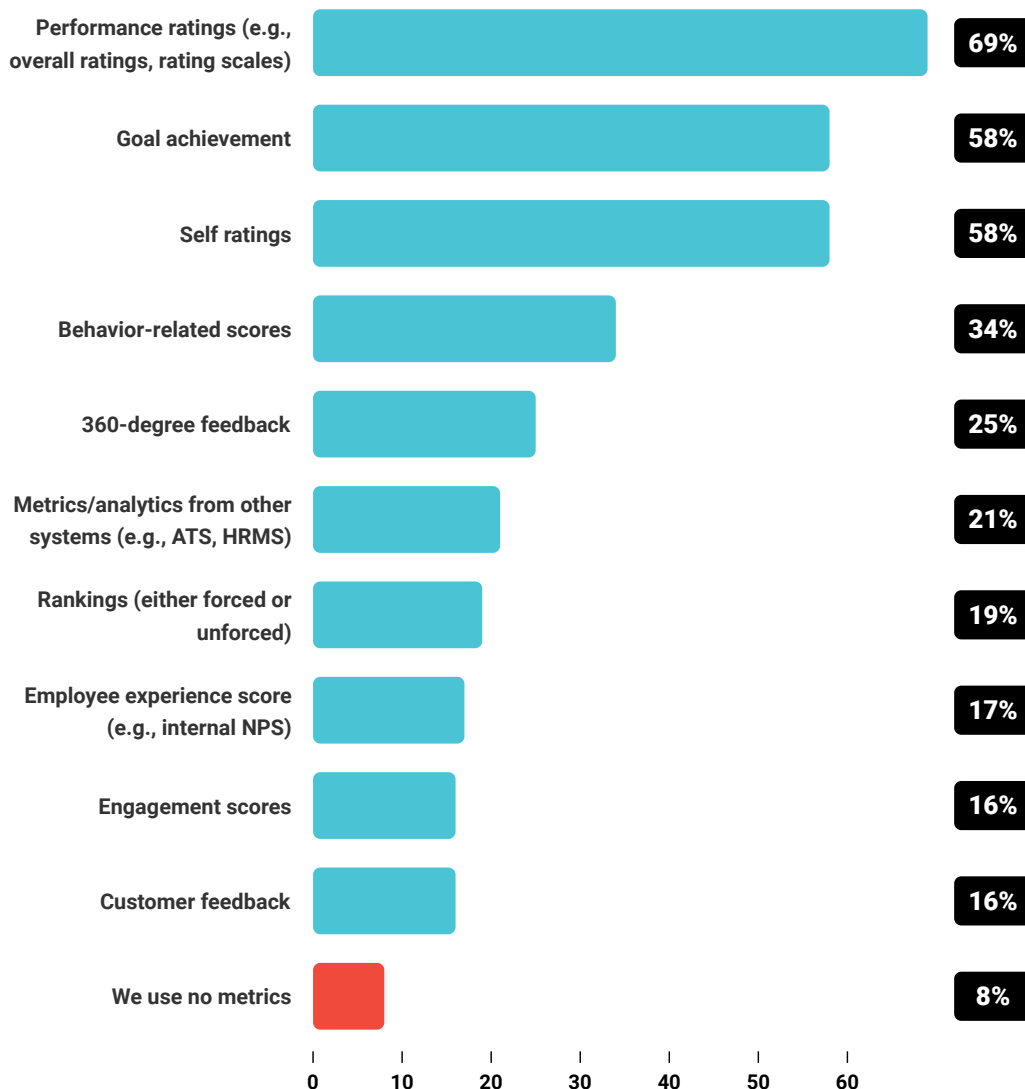
Editor's Note: In the original data, 2% to 24% of respondents stated that they "don't know." For the purpose of this graph, we removed those responses and recalculated, so only those who answered the question substantively were included.



Finding: Most organizations incorporate performance ratings into their PM process

Nearly three-fifths of organizations incorporate goal achievement into their performance management process. Over half also use self-rating. However, only about one-third use behavior-related scores. Some HR professionals like behavior-related scores to capture performance that doesn't show up in goal achievement. The difficulty is that assessing behavior is typically highly subjective, which can create challenges when delivering a fair and defensible system.

What types of performance-related metrics or data inputs are incorporated into your performance management process? (select all that apply)



About one-third use behavior-related scores



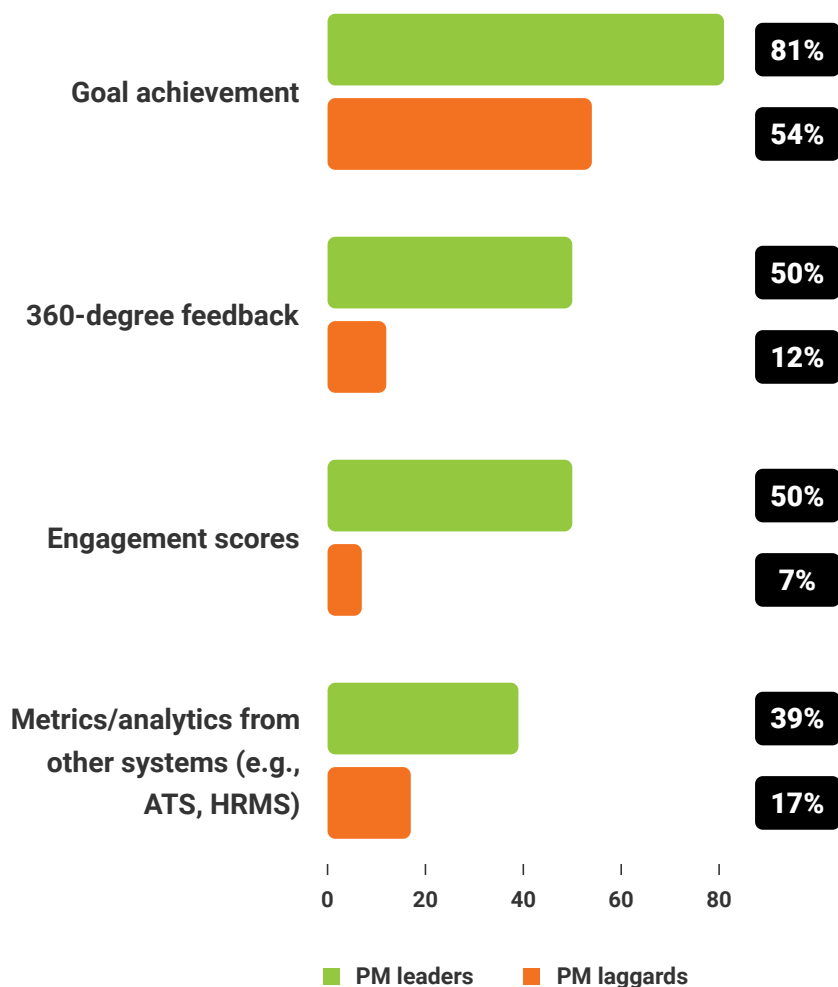
Finding: PM leaders integrate diverse metrics into performance management far more than laggards

Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to use the listed PM metrics.

Performance management leaders adopt a broader and more data-driven approach, with 81% including goal achievement metrics compared to 54% of laggards. They also incorporate a wider range of insights, such as 360-degree feedback and engagement-related scores at 50% each, meanwhile only 12% of laggards incorporate 360-degree feedback and even fewer (7%) track engagement scores.

What types of metrics are incorporated into your performance management process? (select all that apply)



HRRI Strategic Recommendations

Based on our research, please consider the following suggestions:

1. Modernize performance tools to reflect real contributions.

Only 32% of organizations say their PM process accurately captures actual performance. Closing that gap means investing in tools and metrics that map more closely to what people actually do, not just what's easy to measure.

2. Reposition performance management as a growth conversation, not a compliance task.

Half of organizations already say PM strengthens legal protection, but far fewer say it improves output quality or organizational performance, and two-thirds of managers who don't see PM as relationship-building describe it as an obligation to get through. Give managers the frameworks and prompts to turn reviews into real development conversations, documenting fairly and defensibly without letting compliance crowd out growth.

3. Normalize frequent, informal career conversations.

Building both into the regular cadence of work strengthens team dynamics and manager-employee relationships alike, but only if managers have the skills to lead these conversations well.